Shelter Expenses and Utility Allowances	Number	Page
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Revision Date:
01/01/2026

Background:
CalFresh households (HHs) are eligible to deduct allowable shelter and utility expenses from their income to determine CalFresh eligibility.

Purpose:
This section is being updated to provide new guidance on the policy change regarding State Utility Assistance Subsidy (SUAS) eligibility.

Policy:
The excess shelter deduction is the portion of a HH's monthly shelter and utility expenses that exceed 50 percent of the HH's income after all other allowable deductions have been applied. This deduction is limited to the maximum amount established by the California Department of Social Services (CDSS), unless the HH includes an elderly or disabled (E/D) member, in which case no maximum limit applies. The following sections outline the types of shelter expenses and utility allowances that may be included when calculating the excess shelter deduction.

1. Shelter Expense

Shelter expense is the amount the HH is responsible to pay for the home they reside in, the following is a list of allowable expenses related to shelter:

- Rent.
- Mortgage.
- Homeowner's association (HOA) fees.
- Loan payments for the purchase of a mobile home, including interest on such payments.
- Property taxes, state, and local assessments.
- Insurance on the structure itself, but not separate costs for insuring furniture or personal belongings.
- Space rent in a mobile home park.
- Costs for the repair of the home, which was substantially damaged or destroyed due to a natural disaster such as a fire or flood.
- Costs of a home temporarily not occupied by the HH because of employment or training away from home, illness, or abandonment caused by natural disaster or casualty as long as one of the following exists:
    - HH intends to return to the home.
    - The current occupants, if any, must not be claiming the same shelter expense for CalFresh purposes on another case.
    - The home must not be leased or rented during the absence of the HH.

The following payments are excluded from the shelter expense:

- One-time deposits, such as security deposits.
- Penalty fees for making late payments.
- Costs for home repairs that have been or will be reimbursed by private or public agencies, insurance companies, or from any other source.
- Garage rental.

- Shelter expenses claimed as a business expense.

Apply the corresponding income conversion factors, 4.33, 2.167, or 2 when the HH is billed rent on a weekly, bi-weekly or semi-monthly basis, respectively. Use the conversion factor only when a full month's expense is anticipated to continue throughout the certification period.

When a HH chooses to or is obligated to pay rent in advance, allow the monthly amount of the rent obligation each month, regardless of when it is paid.

Example:	
Scenario	HH's monthly rent is $1,000. The HH chooses to pay the landlord a year's rent in advance totaling $12,000.
Outcome	The HH will be allowed a monthly shelter expense of $1,000 in the CalFresh budget.

2. Shared Shelter Expense

The HH may reside with and share the shelter expense with excluded or ineligible HH members, or with another separate HH. The table below provides guidance on calculating the portion of the shelter expense that is allowed as a deduction.

If the shelter expense is shared with…	**then…**
a separate HH,	allow the amount paid by the CalFresh HH. If the amount paid cannot be differentiated per HH, the shelter expense will be divided by the number of HHs contributing to the expense.
an Intentional Program Violation (IPV) disqualified and/or work sanctioned individual(s) who otherwise would be an eligible HH member,	allow the entire shelter expense including the IPV and/or work sanctioned individual's portion.
an ineligible noncitizen, Social Security Number (SSN) disqualified individual or timed out Able-Bodied Without Dependent (ABAWD) individual who **contributes** to the shelter expense from their own income or resources,	prorate the shelter expense among all eligible and ineligible HH members. Count only the eligible members' portion.
an ineligible noncitizen, SSN disqualified individual or timed out ABAWD individual who **does not have their own income or resources to contribute to the shelter expense**,	do not consider the ineligible noncitizen's, SSN disqualified individual's or timed out ABAWD's income in the proration of the shelter expense if proration is needed.
an ineligible student that contributes a set dollar amount to the shelter expense or does not contribute at all,	allow the entire shelter expense excluding the student's contribution.
an ineligible student that contributes to the shelter expense but the amount they contribute cannot be differentiated from the rest of the HH,	prorate the shelter expense among eligible and ineligible HH members. Count only the eligible members' portion.

Note: If a HH contains multiple ineligible noncitizens and/or SSN disqualified individuals, if at least one of them contributes or has income, then include all the ineligible noncitizens and/or SSN disqualified individuals in the proration calculation.

Example:	
Scenario	HH consists of ineligible noncitizen mom and 2 United States (US) citizen children. Mom works and contributes to the rent and the children receive CalWORKs. Total rent is $1200 per month.
Outcome	Mom is an ineligible noncitizen that contributes her earnings from work to the rent, therefore mom is included in the proration. $1200 / 3 (mom and 2 children) = $400 per person. Since there are only 2 eligible HH members $400 X 2 (2 eligible children) = $800 is allowed as the deduction.

Example:	
Scenario	HH consists of ineligible noncitizen dad, eligible noncitizen mom, and 2 US citizen children. Dad has no income. Mom and the children receive CalWORKs. Total rent is $1200 per month.
Outcome	Dad has no income therefore lacking the means to contribute, so he is not included in the proration. The entire rent of $1200 is allowed as the deduction.

Example:	
Scenario	HH consists of ineligible noncitizen mom, 3 US citizen children and 1 unrelated adult that does not Purchase and Prepare (P&P) with the CalFresh HH. Mom works and contributes to the rent, 2 of the children receive CalWORKs, 1 of the children is 20 years old and an ineligible student, who does not contribute to the rent, and the unrelated adult contributes $200 to the rent. Total rent is $1000.
Outcome	Since the unrelated adult is considered a separate HH, first deduct their portion of the rent from the total, $1000 - $200 (unrelated adult's contribution) = $800. Since the ineligible student does not contribute, subtract zero from the remaining rent, $800 - $0 (ineligible student's contribution) = $800. Since mom contributes, she is included in the proration with the 2 children receiving CalWORKs, $800 / 3 (mom and 2 children) = $266.67 per person. $266.67 X 2 (2 eligible children) = $533.33 allowed as the deduction.

Example:	
Scenario	HH consists of an ineligible IPV mom who has earned income, 2 US citizen children, and ineligible noncitizen grandmother who P&Ps with the HH and contributes $150 to the rent each month. Total rent is $1200.

Outcome	The known contribution of grandmother is not deducted as she P&Ps with the HH. She is included in the proration, but her portion is not allowed as part of the deduction. $1200 / 4 (total HH members) = $300 per person. $300 X 3 (IPV mom and 2 eligible children) = $900 allowed as the deduction.

3. Utility Allowances

There are three different utility allowances to which a HH may be eligible. Utility allowances are adjusted to the cost-of-living. The table below explains the different types of allowances and gives guidance on when to include them in the benefit calculation.

The HH is eligible to the…	**if the HH incurs an expense for…**
Standard Utility Allowance (SUA),	heating or cooling (for example, gas, electricity, butane, propane, coal, or firewood) whether paid to the utility company directly, the landlord, or to someone with whom the HH shares the expense, and the expense is separate from their rent.
Limited Utility Allowance (LUA),	at least two of the following utilities: telephone, water, sewer, and garbage or trash collection, but does not incur an expense for heating and cooling.
Telephone Utility Allowance (TUA),	only a phone or in its absence, an equivalent form of communication (for example, internet for email, prepaid phone card, line for a fax machine), whether billed to them or someone else.

Example:	
Scenario	The HH is charged a flat amount of $250 for rent and a separate flat amount of $50 (paid separate from rent) for gas and electric. The HH writes a check to the landlord for $300.
Outcome	Allow the SUA deduction.

Example:	
Scenario	The HH is charged $300 for rent, which includes utilities used for heating and cooling.
Outcome	Do not allow the SUA deduction because the expense is not separate from the rent.

Refer to the current CalFresh Assistance Standards Chart for utility allowance amounts.

4. State Utility Assistance Subsidy (SUAS)

SUAS is a payment that provides HHs with a cash amount of $20.01, and entitles the HH to the SUA deduction. Issue the SUAS payment only if the HH contains an E/D HH member and the HH will receive more benefits or become eligible for CalFresh as a result of the SUA deduction. Do not issue SUAS to HHs that:

- Do not include an E/D HH member.
- Are already eligible to the SUA deduction because they incur heating or cooling expense.
- Are already receiving the maximum benefit allotment for their HH size.

- Are unhoused and would receive a higher benefit from the homeless shelter deduction.

Refer to Desk Aid SUAS for SUA Flowchart for more information.

Note: A CalFresh HH that includes an E/D HH member who is excluded or ineligible for CalFresh qualifies the household for a SUAS payment as long as all other eligibility criteria are met.

Example:	
Scenario	The E/D HH filed an initial application on November 17. The HH does not incur a heating or cooling expense, therefore not entitled to the SUA deduction. It is determined the HH is eligible to the maximum CalFresh allotment for its HH size.
Outcome	The E/D HH is not eligible to receive the SUAS because they are already receiving the maximum allotment.

Example:	
Scenario	The E/D HH filed an initial application on November 17. The HH does not incur a heating or cooling expense, therefore not entitled to the SUA deduction. It is determined that the HH is eligible to CalFresh but not the maximum allotment for their HH size. If the HH had the SUA deduction, the benefit amount would increase.
Outcome	The E/D HH is eligible to SUAS since it will increase their benefits, and the $20.01 payment should be issued. The SUA deduction will now be included in the benefit calculation.

Note: When determining eligibility to Expedited Services (ES) use the actual utility allowance for the expenses the HH incurs. Do not account for SUAS when evaluating ES. If eligible, and upon approval of the case, the HH can then be issued the SUAS payment of $20.01.

Evaluate for SUAS at application, recertification, Eligibility Status Report (SAR 7), or mid-period if a change is reported that could potentially make the HH eligible to it. HHs are eligible to the SUA deduction effective the month the $20.01 SUAS payment is issued. The SUA deduction cannot be applied for any month prior to the issuance of the SUAS payment.

Example:	
Scenario	The E/D HH filed an initial application on November 17. The HH did not incur a heating or cooling expense and was not eligible to the SUA deduction. It is determined the HH is not receiving the maximum shelter deduction, but if the HH had the SUA deduction they would be eligible to increased benefits. The case was approved for November and ongoing on December 5 and the SUAS payment was issued December 6.
Outcome	Since the case was approved and the SUAS payment was not issued until December, then the HH is eligible to the SUA deduction for the month of December through the remainder of the certification period. The HH is not eligible

	to the SUA deduction in the November budget because they did not receive the SUAS payment until the month after November.

When a HH receives the $20.01 SUAS payment, they are eligible to the SUA deduction for a maximum of 12 consecutive months, however there are instances when the HH could receive multiple SUAS payments in a 12-month period. The table below provides guidance on when to issue a SUAS payment and for how long the HH is eligible to the SUA deduction based on receiving the payment.

If the HH…	then the HH…
is certified for 12 months, and is eligible to and receives the SUAS payment at intake or recertification,	is eligible to the SUA deduction for the entire certification period.
is certified for 12 months, and is eligible to and receives the SUAS payment based on information reported on the SAR 7 or information reported mid-period,	is eligible to the SUA deduction for the rest of the certification period. HHs that receive the SUAS payment mid-period will receive another SUAS payment at recertification, if still eligible to it.
is certified for 12 months, received a SUAS payment, and is restoring their benefits,	is not eligible to another SUAS payment if they already received one during the certification period but will continue to be allowed the SUA deduction for the remainder of it.
received the SUAS payment but the case discontinued before the end of the 12-month certification period. The HH reapplies after the restoration period and is still eligible to SUAS,	is issued another SUAS payment making them eligible to the SUA deduction for the entire new 12-month certification period.
is certified for 24 months, and is eligible to and receives the SUAS payment at intake or recertification,	is eligible to the SUA deduction for the first 12 months and must be re-evaluated for SUAS at the SAR 7. If eligible they will receive another SUAS payment and be allowed the SUA deduction for the remaining 12 months of the certification period.
is certified Elderly Simplified Application Project (ESAP), eligible to and receives the SUAS payment at intake or recertification,	is eligible to the SUA deduction for the first 12 months and will have SUAS reissued automatically at the 13th and 25th month as long as no changes have been reported that make them ineligible for SUAS.

The SUAS payment is issued via Electronic Benefits Transfer (EBT) card as a cash benefit. Ensure that the cash account is activated when issuing SUAS payments. When a HH is eligible to SUAS they must be issued a Notice To All CalFresh Recipients (CF 1) informing them of the SUAS payment provided on their EBT card. SUAS payments issued in error are not considered an overissuance.

5. Shared Utilities
Do not prorate SUA, LUA, or TUA when the HH lives with and shares utility expenses with an excluded or ineligible HH member, or when the CalFresh HH lives with and shares utility expenses with another HH.

6. SUAS and Transitional CalFresh (TCF)
HHs transitioning from Public Assistance CalFresh (PACF) to TCF that were receiving the SUA deduction will continue to receive it. Do not issue the SUAS payment to a TCF case if the PACF HH was not receiving the SUA deduction. Evaluate TCF HHs that transition to regular CalFresh for the SUAS payment and the SUA deduction at the time of transitioning.

7. SUAS and Inter-County Transfers (ICTs)
HHs transferring from another county that already received the SUAS payment from the sending county will not receive another SUAS payment during the same certification period. Communicate with the sending county to ensure that duplicate SUAS payments are not issued in the same certification period.

References:
Manual of Policies and Procedures (MPP) 63-502.36, 63-502.37.
Code of Federal Regulations (CFR) 273.9(d)(6).
All County Letter (ACL) 12-61, 13-35, 14-66, 25-68.
All County Welfare Directors Letter (ACWDL) 6-30-14.
All County Information Notice (ACIN) I-34-04.

Sunset Date:
This policy will be reviewed for continuance on or by 12/31/2028.

Approval for Release:

1/20/24
Alberto Banuelos, Ph.D., Interim Director
Self-Sufficiency Services